

Kanpur Electricity Supply Co. Ltd. and another v. Uttar Pradesh Electricity Regulatory Commission, Lucknow and others

Allahabad High Court · Single Judge · 23 November 2011 · 2011 SCC OnLine All 1879 : (2012) 90 ALR 649 · C.M.W.P. No. 23080 of 2011 · **Writ petition dismissed as frivolous/vexatious with costs of Rs. 10,000 (recoverable from the officials responsible for advising the filing)**

HEADNOTE

A charitable institution that provides services free of cost, or at charges not exceeding those of similar Government-operated institutions, is governed by tariff schedule LMV-4(A) (not LMV-4(B)), and concurrent findings of fact of the CGRF and the Electricity Ombudsman to that effect will not be interfered with. A charitable eye-hospital (which performed thousands of free eye operations and charged less than Government hospitals) had been wrongly billed under LMV-4(B); the CGRF directed correction under LMV-4(A) with a penalty under para 7.7.2 of the Code, and the Ombudsman affirmed. The licensee (a State-owned company) itself conceded before the Court that LMV-4(A) applied; the Court dismissed the writ as wholly frivolous and vexatious, deprecating the filing of meritless litigation by State instrumentalities, and imposed costs of Rs. 10,000 with liberty to recover them from the officials responsible.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::7.7

Charitable institution providing free/subsidised service is billed under LMV-4(A); wrong-billing penalty upheld; concurrent findings of fact not interfered

QUESTION

Is a charitable institution providing free or Government-rate-subsidised service governed by tariff LMV-4(A) or LMV-4(B), and will the CGRF/Ombudsman findings be interfered with?

HOLDING

It is governed by LMV-4(A). Both tariff schedules mention charitable institutions, but LMV-4(A) covers those providing service free of cost or at charges not exceeding those of similar Government institutions, and the rest fall under LMV-4(B). The consumer having pleaded and proved (and the licensee having conceded) that it provided free/subsidised service, the concurrent findings of fact of the CGRF and Ombudsman were unimpeachable and were not interfered with; the para 7.7.2 penalty for wrong billing was also sustained. The writ, filed by a State-owned licensee against its own correct billing determination, was dismissed as frivolous and vexatious with costs. ¶ 6-12

LIMITING FACTS

Charitable eye-hospital billed under LMV-4(B) for a period then reverted to LMV-4(A); thousands of free operations; licensee conceded LMV-4(A) applied; State-owned company litigating a meritless case.

PRINCIPLE TAGS

charitable-institution-free-or-subsidised-service-tariff-lmv-4a A charitable institution providing service free or at Government-rate charges is billed under LMV-4(A), not LMV-4(B). ¶ 6-10

state-instrumentality-frivolous-litigation-costs A State-owned licensee filing a meritless writ against its own correct billing determination is liable to costs, recoverable from the officials responsible for advising the filing. ¶ 11-12